The Operation of Supervisory Colleges after the Single Supervisory Mechanism of the EU

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Recognizing the importance of global banking groups to the international financial system and the heavy cost borne by society due to financial instability, governments, particularly those in the G-20 and in the European Union (EU), have increased their focus on the regulatory and supervisory coordination of global banks. From 2008 to 2012, the European Commission approved 5 trillion euros in state aid to the financial sector, equivalent to approximately 40% of EU GDP.[2] Financial services are global in scope, yet their regulation and supervision generally remain national and thus incompletely address financial stability and prudential supervision.[3] Since the financial crisis of 2008, supervisors of global banks have attempted to correct the mismatch between the cross-border operation of banks and the predominantly national regulation and supervision of banks.[4] One aspect of correcting this mismatch is to better coordinate supervision of cross-border banking groups through the use of supervisory colleges.[5]

The European Union has taken the greatest strides in achieving this increased supervisory coordination with the creation of its Banking Union, a package of legislation intended to create a truly European supervisory system and integrated financial services market. The Banking Union

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[2] European Court of Auditors, European Banking Supervision: Taking Shape, at 10 (2014). During the financial crisis, Member States of the European Union committed aid to banks in the amount of approximately 30% of EU GDP and paid out amounts equivalent to 13% of EU GDP. Herman van Rompuy, *Reshaping Europe's Economy – The Role of the Financial Sector*, at 3, Feb. 9, 2011, available at ____.

[3] David Held, *The Hydra-Headed Crisis*, Global Pol. J. at 1 (2010).

[4] Julia Black, *Prudential Regulation of Banks* in International Regulatory Coordination at 75 (2013).

[5] *Id*. at 71.

consists of three pillars: the Single Supervisory Mechanism (SSM), the Single Resolution Mechanism, and a common deposit insurance scheme. This article focuses on how the creation of the SSM has affected the operation of supervisory colleges both within the Eurozone and globally. In summary, the operation of supervisory colleges for banking groups operating within the EU and, to a lesser degree, for those whose home office is located outside the Eurozone should be simplified. Furthermore, as the European Central Bank develops into its role as the single prudential supervisor for the Eurozone, its influence in setting the regulatory and supervisory agenda in international financial fora will likely increase.

Historical Development of Colleges of Supervisors within the European Union

Development of the EU's banking union began, in some ways, with the introduction of the euro in 1999. The monetary union facilitated the growth of both cross-border financial services and the banking groups providing these services. Even before the financial crisis of 2008, supervisory authorities were utilizing supervisory colleges as a tool to share prudential information on financial institutions with cross-border operations. The European Union had been particularly active in utilizing colleges to supervise financial institutions operating in multiple Member States.[6]

The Committee of European Banking Supervisors ("CEBS"), the predecessor to the European Banking Authority, consisted of the bank supervisory authorities of the European Union Member States and had the objective "to foster supervisory convergence across the

[6] Supervisory authorities in the Nordic countries have been particularly active in coordinating the supervision of cross-border banks operating in the Nordic region. Financial Stability Board, Report from a RCG Working Group, *Nordic Experience of Cooperation on Cross-Border Regulation and Crisis Resolution* (2016), *available at* http://www.fsb.org/2016/07/nordic-experience-of-cooperation-on-cross-border-regulation-and-crisis-resolution/

Community."[7] In furtherance of this objective, CEBS actively supported the development of colleges of supervisors of cross-border banks within the European Union. In December 2007, CEBS issued two documents, one entitled *Range of Practices on Supervisory Colleges and Home-Host Cooperation*[8] and the other, *Template for a Multilateral Cooperation Coordination Agreement on the Supervision of XY Group*, which provided non-binding guidelines on the operation of colleges of supervisors.[9]

The financial crisis focused renewed attention on colleges of supervisors as one of several tools to reduce risk within the international financial system. The G-20 in its *Declaration* after the November 2008 Washington Summit stated: "Supervisors should collaborate to establish supervisory colleges for all major cross-border financial institutions, as part of efforts to strengthen the surveillance of cross-border firms."[10] CEBS updated both documents in January 2009 and provided more specific detail on the operation of the college of supervisors. In its *Colleges of Supervisors – 10 Common Principles,*[11] CEBS provided that a college of supervisors shall supervise any cross-border insurance group, banking group or financial conglomerate. The colleges -- flexible, permanent fora for cooperation and coordination among

[7] *See generally* Duncan E. Alford, *The Lamfalussy Process and EU Bank Regulation: Another Step on the Road to Pan-European Regulation?*, 25 ANN. REV. BANKING & FIN. L. 389 (2006).
[8] Committee of European Banking Supervisors, Range of Practices on Supervisory Colleges and Home-Host Cooperation (December 27, 2007), at http://www.c-ebs.org/getdoc/93f97617-daff-4d96-8248-b214e231c28c/CEBS-2007-75-(Range-of-practices)-final-(1).aspx
[9] Committee of European Banking Supervisors, Template for a Multilateral Cooperation Coordination Agreement on the Supervision of XY Group (December 27, 2007), at http://www.c-ebs.org/getdoc/0cb8e434-764d-4530-9b09-a23b5bd25f99/CEBS-2007-177-rev-2-(template-for-written-agre-(1).aspx. The Template document was a form agreement to be signed among supervisors regarding the organization of the colleges and sets forth how the supervisors will interact with one another in supervising a particular bank. The agreement goes into detail about the exchange of information and communication within the group and sets forth responsibilities of each of the regulators who are a party to the agreement.
[10] G-20, Declaration of the Summit on Financial Markets and the World Economy (Nov. 15, 2008), *available at* http://www.g20.utoronto.ca/2008/2008declaration1115.html
[11] *Colleges of Supervisors – 10 Common Principles*, CEBS No. 2008 124 (January 27, 2009), *at* http://www.c-ebs.org/getdoc/aeecaf1a-81b5-476a-95dd-599c5e967697/Clean-V3-formatted-CEBS-2008-124-CEIOPS-SEC-08-54-.aspx.

financial supervisory authorities -- shall have agreements in place describing the cooperation between the supervisors and the practical organization of the supervisory activities of the financial institution. For banking groups, the consolidating supervisor as defined in the Capital Requirements Directive shall initiate the cooperation process.[12] The colleges shall also promote harmonization of supervisory approaches and coordinate all major supervisory decisions. In addition, the colleges shall plan and coordinate supervisory on-site inspections and share the findings from such visits with other members of the college.

While not significantly different from the 2007 version, the 2009 *Template for a Multilateral Cooperation Coordination Agreement*[13] removes some discretion given to the supervisor under the earlier agreement and requires supervisors to cooperate more fully with their peers in the supervision of cross-border banks. For instance, the new agreement adds a provision stating, "Should the authorities in a College not reach an agreement, as foreseen by the CRD [Capital Requirements Directive] the matter may be referred for mediation to the Committee of European Banking Supervisors."

One weakness of the college of supervisors under the CEBS structure was the lack of a mandatory mediation process if the supervisors cannot agree on an action with respect to the supervision of the financial institution. As seen in the 2008 financial crisis, this lack of mediation allowed supervisors to act on their own and not in coordination with their peers. For example, in the fall 2008 rescue of Fortis, the financial group with operations in Belgium, the

[12] CRD, Art. 131a.
[13] Committee of European Banking Supervisors, Template for a Multilateral Cooperation Coordination Agreement on the Supervision of XY Group, §6.1(26) (January 27, 2009), *at* http://www.c-ebs.org/getdoc/aaafdb97-f131-4af6-96b5-34720c1bd2ad/CEBS-2007-177-rev-4-_template-for-written-agreemen.aspx

Netherlands, and Luxembourg, the national supervisors struggled to coordinate their actions.[14] At first, the Benelux governments purchased 49% of the equity of Fortis. Then a few days later, the Dutch government seized the Dutch operations of Fortis and the Belgian and Luxembourgian operations were sold to BNP Paribas.[15] These events illustrate the lack of effective supervisory cooperation, particularly during times of crisis. Recognizing the weaknesses in the supervisory system highlighted by the financial crisis, the EU responded with legislative proposals to reform the system within the EU.

On February 23, 2009, a high level group of advisors, chaired by Jacques de Larosière, former Governor of the Banque de France, issued its report on the reform of the European Union system of financial supervision, also known as the Larosière Report.[16] Appointed by Jose Barroso, the President of the European Commission, in the fall of 2008, the High-Level Group was charged with a broad mandate "to make proposals to strengthen European supervisory arrangements covering all financial sectors, with the objective to establish a more efficient, integrated and sustainable European system of supervision."[17] While a complete analysis of this report is beyond the scope of this article, this article will focus on the recommendations related to supervisory cooperation within the European Union. The Larosière Report recommended that, for cross-border institutions, the colleges of supervisors introduced by the

[14] Nikki Tait & Jennifer Hughes, *Trichet Calls for Supervision of All Institutions*, FIN. TIMES, Feb. 24, 2008. *See* Simonetta Cotterli and Elisabetta Gualandri,, Financial Crisis and Supervision of Cross-border Groups in the EU (2009), available at http://papers.ssrn.com/sol3/papers.cfm?abstract_id=1507750.

[15] Ulrich Volz, *Europe Needs a United Approach to the Credit Crunch*, WALL ST. J., Oct. 7, 2008, at A27.

[16] The High-Level Group on Financial Supervision in the EU, Report (Feb. 25, 2009), *at* http://ec.europa.eu/internal_market/finances/docs/de_Larosière_report_en.pdf. [hereinafter Larosière Report]. This group held 11 public meetings and consulted widely to develop its 31 recommendations to improve financial services regulation within the EU.

[17] High Level Expert Group on EU Financial Supervision to Hold First Meeting on 12 November, 1P/08/1679 (Nov. 11, 2008), *at* http://europa.eu/rapid/pressReleasesAction.do?reference=IP/08/1679&format=HTML&aged=0&language=EN&guiLanguage=en.

revised Capital Requirements Directive should take the lead in supervision. The colleges of supervisors should be strengthened by "participation of representatives of the secretariat of the Level 3 committees as well as of the European Central Bank and European System of Central Bank Supervisors."[18] The Larosière Report in Recommendation 18 advised that "colleges of supervisors would be set up for all major cross-border institutions." [19]

The report also stated that the "relatively restrictive use of supervisory colleges should be expanded immediately."[20] By the end of 2009, supervisory colleges should be established for all major cross-border firms within the European Union, estimated to be at least 50 financial institutions. In order for the colleges of supervisors to work effectively, the participants must have confidence in it. Supervisors are frequently constrained by a concern about revealing confidential data. The participants must respect the confidentiality of information but, at the same time, must not withhold necessary supervisory information from other participants. This balance is difficult to obtain. This recommendation is a logical precursor to the report's medium-term goal of creating a European System of Financial Supervision ("ESFS") and the three supervisory authorities, one for each financial sector: banking, securities and insurance.

In a speech commenting on the report, Jacques de Larosière noted that colleges of supervisors are crucial. Proper supervision is not possible "unless the [national] supervisors responsible for monitoring the subsidiaries (and even branches) of those groups are fully

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[18] *Larosière Report,* supra note __, at __. The Level 3 committees refer to the Committee of European Banking Supervisors ("CEBS"), the Committee of European Securities Regulators ("CESR"), and the Committee of European Insurance and Occupational Pension Supervisors ("CEIOPS"). These committees were set up under the Lamfalussy process to advise the Commission and its committees on implementing measures need to effectuate financial regulation. *See generally* Duncan Alford, *The Lamfalussy Process And EU Bank Regulation: Another Step On The Road To Pan-European Regulation*, 25 ANN. REV. BANKING & FIN. L. 389, 398-405 (2006).

[19] *Larosière Report*, supra note ___, at 48.

[20] *Larosière Report*, *supra* note ___, at 51.

involved in the supervision exercised by the 'home supervisor' over the parent company."[21] Colleges are the forum for the exchange of ideas and opinions.[22] There are two dangers with colleges – one, inconsistent decisions between colleges and, second, failure to take any action in the event of disagreement within a college.[23] The ESAs will reduce inconsistency by attending the colleges as a coordinator.[24]

The European Council of the European Union took up the Larosière Report at its March 2009 meeting. The Council "agreed on the need to improve the regulation and supervision of financial institutions in the EU and that the report from the High Level Group on financial supervision chaired by Jacques de Larosière is the basis for action."[25] In May 2009 the European Commission issued a communication describing its planned actions based on the Larosière report. The European Commission proposed creating three new supervisory authorities – the European Banking Authority (the "EBA"), the European Securities Markets Authority (the "ESMA") and the European Insurance and Occupational Pensions Authority (the "EIOPA").[26]

The May communication relies heavily on colleges of supervisors as "the lynchpin of the supervisory system"[27] as they will ensure "a balanced flow of information between home and host authorities."[28] The EBA will participate in the colleges as an observer, will ensure that a college uses consistent practices in supervising financial instructions and will facilitate the

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[21] Jacques de Larosière, *The New European Financial Supervision Framework Applied to Cross-border Banks and the Possible Specific Implications for Small Countries* at 5, Belgian Financial Forum Conference, Jan. 22, 2010, available at https://www.financialforum.be/sites/financialforum.be/files/media/781.pdf
[22] *Id*. at 6.
[23] *Id*.
[24] *Id*. at 7.
[25] *Brussels European Council 19/20 March 2009 Presidency Conclusions*, European Council Doc. 7880/09 (March 20, 2009), *at* http://www.consilium.europa.eu/uedocs/cms_data/docs/pressdata/en/ec/106809.pdf.
[26] Communication from the European Commission: European Financial Supervision, COM (09)252 final, *available at* http://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:52009DC0252&rid=1 .
[27] *Id*. at 9.
[28] *Id*.

distribution of microprudential information to all national supervisors in a particular college. The expectation is that the college will take an institution-wide view regarding prudential supervision, rather than just a national view.

Subsequently, in June 2009, the ECOFIN Council approved the May communication and the creation of both the European Systemic Risk Council and the ESFS. The Council stated that a common supervisory culture will be developed through the EBA's participation in the colleges of supervisors.[29] The EBA would collect microprudential information and create a central database of this information available to the relevant supervisors of a particular financial institution. The Council acknowledged the ESAs' role as a mediator in disputes between national supervisors over prudential matters, but stated that this power "should not impinge in any way on Member State fiscal responsibilities."[30] The members of the Council, particularly the United Kingdom, were concerned that these new European supervisory agencies could require a Member State to bail out a bank or other financial institution against its will.

In parallel to the legislation based on the Larosière Report, the European Union considered and enacted changes to the Capital Requirements Directive with respect to the formation of colleges of supervisors to supervise financial institutions operating across borders in the European Union. The amended directive requires consolidating supervisors to create colleges of supervisors.[31] Under this Directive, colleges can exchange information about financial institutions, voluntarily delegate supervisory tasks and responsibilities among themselves, and develop a supervisory examination program for the financial institution for

[29] The Council of Economics and Finance Ministers, Council Conclusions on Strengthening EU Financial Supervision, at 4 (June 9, 2009), *at* http://www.consilium.europa.eu/uedocs/cms_Data/docs/pressdata/en/ecofin/108389.pdf. The Council of Economics and Finance Ministers is also known as the ECOFIN Council.

[30] *Id*. at 5.

[31] CRD, Art. 42a(3).

which they are responsible.[32] Members of the college include supervisors from a Member State where a subsidiary is located or which contains significant branches of the financial institution.[33]

After a lengthy negotiation process, the Council and the European Parliament agreed on a final version of the EBA Regulation which was published in the *Official Journal* on November 9, 2010. [34] The final legislation expanded the powers of the EBA somewhat, but the supervisory scheme in the EU still rested to a large extent with the national supervisors.

The EBA has the authority to submit both regulatory technical standards and implementing technical standards to the European Commission for approval.[35] Once submitted, the Commission can reject or request amendments to the standard. However, the Commission cannot change the text of the standards without coordinating with the EBA. While this provision does not provide regulation-making authority equivalent to that of national supervisory agencies, it does provide the EBA with significant influence in creating the standards. The Regulation explicitly provides that the Council or the Parliament can revoke this delegation of power to issue technical standards.

Member States throughout the negotiations were concerned about the power of the EBA to issue decisions directly applicable to financial institutions. Some Member States and national supervisors were concerned that the EBA would circumvent the authority of national supervisors. The final regulation does allow the EBA to issue decisions directly applicable to financial institutions.[36] If the EBA determines that a national supervisor has taken an action that appears to be "a breach of Union law," the EBA can address a recommendation to the national

[32] Council Directive 2009/111/EC, 2009 O.J. (L 302) 97, Art. 131a(1).

[33] *Id*. art. 131a(2), at 114.

[34] Regulation 1093/2010, O. J. (L 331) 12 (Dec. 15 2010) [hereinafter EBA Regulation].
[35] *Id*., Art. 10, 12, 13.
[36] *Id*. Art. 17, 18.

supervisor.[37] Upon the endorsement of a recommendation by the European Commission, the EBA may issue a decision directly to a financial institution if the relevant national supervisor does not comply. In the event that the Council declares an emergency situation that jeopardizes "the orderly functioning and integrity of financial markets" or financial stability generally, the EBA can issue decisions requiring national supervisors to take certain actions.[38] If the national supervisor does not comply, then the EBA can issue a decision directly applicable to a financial institution.

The EBA also has the power to settle disagreements between national supervisors of cross-border financial institutions. The regulation requires the EBA to attempt at first to mediate any dispute. If the national supervisors cannot reach an agreement, then the EBA by a majority vote of its Board of Managers may issue a decision settling the matter. The EBA decision supersedes any earlier decision issued by the national supervisor. This dispute settlement power coupled with the supremacy of the EBA decision over national supervisors will enable the EBA to create "a sound, effective and consistent level of regulation and supervision"[39] within the EU – one of the goals of this Regulation.

The Regulation provides for the EBA to be closely involved in the operation of colleges of supervisors. The EBA is "able to participate in the activities of colleges of supervisors, including on-site examinations."[40] The final regulation enumerates specific tasks of the EBA related to colleges of supervisors, including collecting all relevant information needed for the effective operation of the colleges and instituting EU-wide stress tests of financial institutions. The EBA can request further deliberations by colleges, may require the consolidating supervisor

[37] *Id*., Art. 17(3).
[38] *Id* , Art. 18(3).
[39] *Id*., Art. 1(5)(a).
[40] *Id*., Art. 21(1).

to schedule a meeting of the college, and can add items to the agenda of the college. In addition, the EBA may develop draft regulatory and implementing technical standards related to the operation of colleges of supervisors. Finally, the EBA shall "have a legally binding mediation role to resolve disputes between competent authorities."[41]

The EBA's authority to issue decisions resolving a dispute among national supervisors or in the event of a financial emergency is subject to a broad safeguard.[42] The EBA may not issue a decision that "impinges in any way on the fiscal responsibility of Member States."[43] The language of this Article did not change from the December 2009 Council version. Additional language was added stating that any abuse of the safeguard, particularly where there is no material fiscal impact, "shall be prohibited as incompatible with the internal market."[44] This broadly worded safeguard provision significantly weakens the EBA's authority. However, this article does not apply to decisions issued by the EBA and endorsed by the Commission related to the breach of EU law. If the action of a national supervisor breaches EU law, the safeguard provision and its delaying procedure do not apply to such a decision.

The EBA is not optimally independent for a regulatory agency. National supervisors who are subject to its decisions serve on the EBA board. The grounds for dismissal of the head of the EBA are not specified. A representative of the European Commission serves on the board in a non-voting capacity,[45] but nevertheless "raises the issue of potential political interference on the [EBA's] policy decisions."[46]

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[41] *Id*., Art. 21(4).
[42] *Id*., Art. 38.
[43] *Id*., Art. 38(1).
[44] *Id*., Art. 38(5).
[45] *Id*., Art. 40(1)(c) (indicating composition of board showing a Commission representative).
[46] Donato Masciandaro, María J Nieto, and Marc Quintyn, *The European Banking Authority: Are its governance arrangements consistent with its objectives?*, VOX (Feb. 7, 2011), *available at* http://voxeu.org/article/european-banking-authority-are-its-governance-arrangements-consistent-its-objectives

Single Supervisory Mechanism of the European Union

The sovereign debt crisis in certain EU Member States beginning in late 2009 highlighted the continuing weaknesses in the supervisory regime under the EBA. National supervisors continued to play a significant role in the supervision of cross-border banking groups. The connection between sovereign bonds and banks severely weakened confidence in the banking system in some EU Member States. As a result, the European Commission proposed the Banking Union in order to sever the link between sovereign debt and the banking system and to improve the supervision of cross-border banks.[47]

The European Union brought into effect the first pillar of the Banking Union – the Single Supervisory Mechanism (SSM) on Nov. 4, 2014. At that time, the European Central Bank (ECB) became the prudential supervisor of the 123 largest banking groups in the Eurozone. These 123 banking groups represent approximately 85% of the banking assets within the Eurozone.[48] The legal basis for the ECB's role as the single European prudential supervisor is Article 127(6) of the Treaty on the Functioning of the European Union.[49] The appointment of another EU institution or agency would have required a treaty amendment which was not politically feasible at the time. Nineteen Member States of the European Union are currently members of the Eurozone and thus also the SSM. Bulgaria, Croatia, the Czech Republic, Hungary, Poland, and Romania are not members of the Eurozone but, by the terms of their accession treaties with the EU, they are required to join the Eurozone once they have met certain economic criteria.[50] Sweden, Denmark and the United Kingdom have indicated that they will

[47] European Commission, *A Roadmap Towards A Banking Union*, (COM (2012) 510.
[48] European Central Bank, Annual Report, at 4 (2014).
[49] Treaty on the Functioning of the European Union, Art. 127, O.J. (C 326) 46 (2012).
[50] Act Concerning the Conditions of Accession of the Czech Republic, the Republic of Estonia, the Republic of Cyprus, the Republic of Latvia, the Republic of Lithuania, the Republic of Hungary, the Republic of Malta, the Republic of Poland, the Republic of Slovenia, and the Slovak Republic and the Adjustments to the Treaties on Which the European Union is Founded, Art. 4, 2003 O.J. (L 236) 33, Sept. 23, 2003.

not join the Eurozone; Denmark and the United Kingdom are not obligated to do so under the EU treaties.

The second pillar of the EU Banking Union – the Single Resolution Mechanism – began operation in 2016. However, the SRM will not be fully operational and funded until 2022. The third pillar -- a common deposit insurance scheme for the Eurozone -- is currently being debated within the EU institutions and it is still a long way from implementation.

Prior to the creation of the SSM, banks throughout the EU were supervised by national competent authorities (NCAs) or national bank supervisors with some coordination by supervisory colleges and the EBA as described above. As a result, national supervisors took different supervisory approaches and took advantage of national discretions available in adopted EU banking laws.[51] Banking groups recognized this regulatory arbitrage and structured their banking operations accordingly.

Under the SSM, the ability to take advantage of this regulatory arbitrage is reduced. The ECB will supervise the largest banks in the Eurozone; the smaller banks, or more specifically the less significant banking groups, will continue to be supervised by national supervisors under the general oversight of the ECB. These smaller banks numbering approximately 3200 represent 18% of Eurozone banking assets and the vast majority are located in Austria, Germany and Italy.[52] The result is a two-tiered system of bank supervision, in some ways, similar to the dual banking system in the United States. Banking groups with their home office outside the Eurozone will continue to be supervised by the national bank supervisor of their home

[51] Eddy Wymeersch, *The Single Supervisory Mechanism: Part One of the Banking Union*, Working Paper No. 240/2014, at 8.
[52] Sabrine Lautenschlager, *Caught in the Middle?* Feb. 22, 2016, available at https://www.ecb.europa.eu/press/key/date/2016/html/sp160222.en.html .

jurisdiction. The SSM does allow EU Member States outside of the Eurozone to opt in to the ECB's supervisory regime but, thus far, no EU Member State has done so.[53]

Inevitably after November 2014, the SSM caused the reorganization of supervisory colleges both within and without the Eurozone. The ECB took over the role of national bank supervisors of the 19 Eurozone nations in the supervisory colleges they previously participated in. If a banking group operates only in Eurozone, no supervisory college exists because the ECB assumes the role of all the national bank supervisors. If the head office of a banking group is located within the Eurozone, the ECB serves as the lead supervisor. National supervisors from non-Eurozone jurisdictions continue to serve in that college. If the head office of the banking group is outside of the Eurozone, the national supervisor in the jurisdiction where the head office is located becomes the lead supervisor of the supervisory college. However, the ECB represents the Eurozone national supervisors as a host supervisor in such supervisory college. The national supervisors from the Eurozone may continue to participate as observers, but they defer any decision-making to the ECB.[54] As a result of the SSM, the ECB takes on a more influential role in supervisory colleges as it substitutes for any of the 19 Eurozone supervisors that previously served in such college.

Under the SSM, the ECB exercises its authority through Joint Supervisory Teams (JSTs) which substitute for the supervisory college of a Eurozone banking group. The JST is the principal form of cooperation between the ECB and national supervisors of Eurozone members. Created for each of the 123 cross-border banking groups supervised by the ECB, a JST consists of ECB supervisory officials and officials from the national supervisors in the jurisdictions where the cross-border banking group operates. An ECB official – the JST coordinator – heads

[53] Regulation 1024/2013, O.J. (L 287) 63 (2013) [hereinafter SSM Regulation], Art. 7. The Member State enters into a close cooperation agreement with the ECB which is later issued as an ECB decision.
[54] SSM Regulation, Art. 4(1)(g).

the JST and officials from the national supervisors also serve on the JST. The nationality of the JST coordinator may not be the same as the country where the home office of the banking group supervised is located.[55] To further ensure independence, the JST coordinator is appointed to a 3-5 year term.[56] If there are a large number of supervisory officials on the JST because of the size of the supervised banking group, the JST coordinator may create a core JST and separate JSTs for larger Eurozone jurisdictions.[57] Depending on the structure of the cross-border bank and its supervisory college, the JST can serve as a host supervisor in a supervisory college.

Supervisory colleges are an important mechanism for supervisory coordination within the EU. According to the European Banking Authority, in 2015, there were 134 cross-border banking groups operating in the EU.[58] There were 68 active supervisory colleges among these 134 banking groups.[59] Sixteen supervisory colleges that had previously operated in 2014 had ceased operation in 2015 because of the creation of the SSM. The banking groups supervised by these ceased colleges operated exclusively within the Eurozone (all their significant branches or subsidiaries operated in the Eurozone only) and the ECB took over the role of the supervisory college.[60] Another 12 supervisory colleges that existed in 2014 ceased operation due to corporate consolidation or retrenchment of bank operations.[61]

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[55] European Central Bank, Guide to Banking Supervision at 17 (2014), available at https://www.bankingsupervision.europa.eu/ecb/pub/pdf/ssmguidebankingsupervision201411.en.pdf .
[56] *Id*.
[57] *Id*.
[58] European Banking Authority, Report on Functioning of Supervisory Colleges, at 11 (2016).
[59] *Id*. at 11. Another 135 third-country cross-border banking groups were active in the European Economic Area. *Id*. The EEA consists of the EU and the countries of Norway, Iceland and Liechtenstein. Seven active supervisory colleges operated within this group of banks.
[60] *Id*.
[61] *Id*.

The tasks of a supervisory college within the EU are specified by EU banking law, particularly the Capital Requirements Directive[62] and the Bank Resolution and Recovery Directive.[63] These tasks include:

- the adoption of a written cooperation and coordination agreement,[64]
- group risk assessment,
- group liquidity assessment,
- joint decision on capital and liquidity,[65] and
- joint decision on the assessment of group recovery plans.[66]

After implementation of the SSM, the structure of supervisory colleges for large banking groups changed significantly. The home supervisor determines the structure of the supervisory college (which national supervisors to invite to participate) based on the size and geographic scope of the operations of the banking group. The home supervisor exercises significant judgment in determining membership of the college. For a large banking group, the home supervisor may create a core college (with only a few supervisors from the most significant jurisdictions) and a universal college (with all relevant supervisors).

One concern is the ability to share confidential information among members of the supervisory college ensuring that confidential information will not be released to the public or unauthorized third parties. The EBA has alleviated this concern somewhat by issuing its first recommendation on the equivalence of confidentiality regimes. The EBA has determined that supervisors in Brazil, Canada, the People's Republic of China, Mexico, Singapore, Switzerland,

[62] Directive 2013/36/EC, O.J. (L 176) (June 27, 2013 [hereinafter CRD].
[63] Directive 2014/59, O.J.(L 173) (June 6, 2014) [hereinafter BRRD].
[64] Of the 23 monitored colleges, 22 supervisory colleges developed a written coordination agreement which set forth the structure and operation of the supervisory college. EBA Report, supra note __, at 17. Only 4 of these agreements, known as Written Coordination and Cooperation Agreements (WCCA), were finalized.
[65] CRD, Art. 116.
[66] BRRD, Art. 6(2), 8(2).

Turkey, the United States and certain Balkan nations are deemed equivalent to EU bank supervisors in terms of the management and treatment of confidential information.[67] This recommendation should aid in the sharing of information within European supervisory colleges as confidentiality concerns for these supervisor should be lessened. Over the next three years, the EBA will assess an additional 40 jurisdictions.[68]

A few examples will illustrate the significant changes in the composition of supervisory colleges within the EU. Nordea is a dominant bank operating in Scandinavia with its home office located in Sweden, which is outside of the Eurozone. The Swedish Financial Supervisory Authority will therefore serve as its home or consolidated supervisor; the ECB will serve as a host supervisor representing Nordea's operations in the Eurozone countries, namely, Estonia, Latvia and Lithuania. The Danish, Polish and Norwegian supervisors continue their same role as host members of Nordea's supervisory college. The EBA is an observer in the college and can resolve any differences between the ECB and the non-Eurozone supervisors.[69]

A similar situation occurs for DNB, SEB, and Swedbank, three other cross-border banking groups operating in Scandinavia. The ECB will serve as a host supervisor on the colleges for these three banks because the home offices of these three banks are located outside of the Eurozone. The home office of DNB is located in Norway while the home offices of SEB and Swedbank are located in Sweden. The JST coordinator assigned by the ECB to these banks

[67] European Banking Authority, Recommendation EBA/REC/2015/01. *See also* Decision of the European Banking Authority on Rules of Procedure for the Settlement of Disagreements between Competent Authorities, EBA/DC/2014/091.

[68] European Banking Authority, 2016 Annual Work Programme at 17 (Feb. 2016).

[69] Penti Hakkarainen, *Minimise the Use of Public Money through the Banking Union*, June 25, 2013, available at http://www.bis.org/review/r130627d.pdf. The EBA has a limited power of mediation between national supervisors and cannot initiate mediation unless that specific power is provided in primary legislation. European Court of Auditors, *supra* note ___, at 61. Prior to 2014, the EBA had not used its binding mediation power. COM (2014) 509 final at 7. EBA Regulation, Art. 21. After 2014, the EBA used its non-binding mediation powers several times. In the first quarter of 2015, the EBA received two requests for binding mediation. Court of Auditors, supra note ___, at 61. As of April 2015, the EBA had completed two cases of binding mediation, five cases of non-binding mediation, and one informal mediation. European Banking Authority, Report on Convergence of Supervisory Practices, at 21 (2015).

will represent the Eurozone countries in supervisory college meetings and will bring a European perspective to the role of host supervisor.

Another example is Deutsche Bank whose home office is located in Germany. Prior to the SSM, its supervisory college included supervisors from Germany, France, Belgium, the Netherlands, the United States, the United Kingdom, and Hong Kong, among others. After implementation of the SSM, the ECB represents the first four nations, all members of the Eurozone.

Cross-border supervision and regulations consists of two components: harmonization and cooperation.[70] Colleges of supervisors are intended to address the component of improved cooperation among supervisors of cross-border financial institutions.[71] The home country supervisor takes the lead in a college. The success of the college depends on the willingness of supervisors to share information about the financial institution supervised.[72] Supervisors tend to cooperate better when "there is a pre-existing mutual understanding between regulators the comes about through familiarity with each other's regulatory frameworks, markets, and regulatory approaches."[73] Even this cooperation is second best to a global administrative body which is not currently realistic.[74] Within the Eurozone, the ECB serves as such a supervisor with the creation of the SSM.

Basel Committee on Banking Supervision -- Supervisory Colleges

[70] Eric Pan, *Four Challenges to Financial Regulatory Reform*, 55 Villanova L. Rev. 743, 768 (2010).
[71] *Id*. at 769.
[72] *Id*.
[73] *Id*. at 770.
[74] *See also* Michele Fratianni, and John Pattison, *International Financial Architecture and International Financial Standards*, The Annals of The American Academy of Political and Social Science (Jan. 2002); *see generally* Jonathan Koppell, World Rule (2010).

The Basel Committee on Banking Supervision has urged better coordination through supervisory colleges. In its October 2010 *Good Practice Principles on Supervisory Colleges*[75] (the "Principles"), the Basel Committee issued eight general principles on the operation of colleges of supervisors for global banks. The Basel Committee stated that supervisory colleges are not a substitute for effective national supervision of financial institutions. Furthermore, supervisory colleges are not decision-making bodies but rather "provide a framework to enhance effective supervision of international banking groups."[76] The Basel Committee noted that supervisory colleges provide a useful forum in which to share information regarding the overall risk assessment of a banking group and in which to discuss and plan the supervisory assessment of a financial group. Ultimately, the regular interaction and exchange of information among supervisors within a college should enhance the mutual trust and understanding among the supervisors.

The Principles did not prescribe a particular structure of a supervisory college; rather, the college structure should be flexible and proportionate to the size and complexity of the financial institution. The Principles did recognize that the home supervisor who leads the college should designate members of a core college and a general college. The home supervisor should have regular, continuous communication with members of the core college who represent the jurisdictions in which significant operations of the financial institution exist. Members of the general college represent jurisdictions where the financial institution has less significant operations. The college should hold regular physical meetings among the supervisors and the core college should meet at least once annually. The Basel Committee recognized that the

[75] Basel Committee on Banking Supervision, Good Practice Principles on Supervisory Colleges, (2010) *available at* http://www.bis.org/publ/bcbs170.pdf.
[76] *Id*. at 1.

operation of supervisory colleges and crisis management groups are distinct but complementary activities.

In June 2014, the Basel Committee on Banking Supervision issued its *Principles for Effective Supervisory Colleges* after circulating a draft for consultation and receiving comments from both global banks and bank supervisors.[77] The principles replace the Basel Committee's earlier pronouncement in October 2010, *Good Practice Principles on Supervisory Colleges*. After several years of experience with an increased number of supervisory colleges for global banking groups, the Basel Committee intended to further improve the operation of supervisory colleges and ultimately improve the stability of the global financial system. The Basel Committee noted: "Colleges are now an important component of effective supervisory oversight of an international banking group and the G20 has reinforced the significance of colleges in the wake of the financial crisis."[78]

The Basel Committee emphasizes that the new Principles are not intended to replace existing bilateral or multilateral cooperation. As in 2010, colleges are not intended to be decision-making bodies and do not substitute for effective national supervision.[79] Nevertheless, supervisory colleges have become an important forum for the discussion of planning supervisory assessments (including on-site examinations) and sharing information on the overall risk profile and vulnerabilities of a global bank.[80]

Building upon the earlier 2010 document, the Committee in the 2014 Principles emphasizes the importance of on-going information sharing and not just sharing information at

[77] Basel Committee on Banking Supervision, Principles for Effective Supervisory Colleges (2014).
[78] *Id*. at 1.
[79] *Id*.
[80] *Id*. at 4.

supervisory college meetings.[81] Information sharing is only effective when there is mutual trust resulting from confidence in the information flow between and among supervisors. The 2014 Principles also recognized the importance of more involvement by host supervisors, but recognized that there is a balance between the number of members of the college and the effectiveness of the college. The 2014 Principles also explicitly recognized the relationship between supervisory colleges and crisis management groups[82] and the importance of macroprudential information to the work of the supervisory college.

Learning from its additional experience with supervisory colleges, the Basel Committee includes more advice on the structure of colleges, but does not specify a structure for supervisory colleges. A supervisory college is organized based on the structure and geographic scope of the global bank to which it relates. The home supervisor is responsible for structuring the supervisory college. Supervisors in countries where the global bank operates (the host supervisors) necessarily have an interest in the overall stability of the global bank. The Basel Committee emphasizes that the home supervisor in structuring the college should consider including host supervisors that have a significant subsidiary or a significant branch in their jurisdiction as members of the college.[83] However, there is a tension between the size of the college and its effectiveness. The Basel Committee notes, "One of the challenges of supervisory colleges is that the size of college membership can be inversely proportional to the effective sharing of information among members. Home supervisors, therefore, should aim to strike an appropriate balance between college effectiveness and the involvement of host supervisors in a

[81] *Id* at 2.
[82] *Id*. at 3. The Financial Stability Board calls for the creation of crisis management groups (CMGs) for global systemically important financial institutions in *its Key Attributes of Effective Resolution Regimes for Financial Institutions* issued in October 2011,
[83] *Id*. at 5.

college."[84] The home supervisor has a challenging task in "striking the right balance between membership size and manageability."[85]

A single college is the simplest structure and is appropriate when the bank operates in a small number of jurisdictions and a small number of supervisors are involved.[86] For global banks with more complicated structures, the home supervisor may create two colleges: a core college that consists of supervisors from jurisdictions hosting the more significant operations of the global bank and a universal college that includes supervisors from all the jurisdictions where the global bank operates.[87] On occasion, the home supervisor may implement a variable structure, particularly for a complex global bank. Under this structure, a college that includes supervisors from a particular geographic region or a college that focuses on a particular line of business of the global bank may be created.[88]

In addition to creating the structure of the supervisory college, the home supervisor has the important role of designing and coordinating the work of the supervisory college.[89] The home supervisor sets the agenda for the supervisory college meetings, ensures that relevant supervisory information is shared as appropriate among the members of the college, and provides the mechanism for such sharing and communication generally within the college (such as a secure web platform for communication and sharing documents, many of which are confidential). To assist in this information sharing, the Basel Committee recommends entering into memoranda of understanding that provide for the sharing of confidential information.[90] Members of a supervisory college should also collaborate in their work, such as conducting joint

[84] Financial Stability Board, Thematic Review on Supervisory Frameworks and Approaches for SIBs, at 29 (May 2015).
[85] *Id*.
[86] Principles, *supra* note ___, at 6.
[87] *Id*. at 6.
[88] *Id*.
[89] *Id*. at 7.
[90] *Id*. at 9, Principle 3. Annex 2 to the Principles provides more specific information on the content of these MOUs.

on-site inspections of a global bank or reaching a joint risk assessment of the global bank.[91] Once the supervisors within a college reach a joint risk assessment, they should coordinate on the timing and content of subsequent communication to the global bank of the assessment. [92]

A significant change in the 2014 Principles from the 2010 document is the more extensive discussion of crisis management groups and the operation of supervisory colleges. With the issuance by the Financial Stability Board of its *Key Attributes of Effective Resolution Regimes for Financial Institutions*[93] in October 2011, more attention has been focused on crisis preparedness and the operation of crisis management groups. Crisis management groups address the recovery planning and resolution of global banks and, in addition, to the supervisory authorities, they also include resolution authorities and ministries of finance among their membership.[94] The supervisory college focuses on information-sharing among supervisors when the global bank is a going concern. The crisis management groups come into play when the global bank has reached "a point of non-viability."[95] When this shift of responsibility actually occurs is not clear or definite. Thus, a weakness in the supervision of global banks is this uncertainty regarding when the resolution authorities step in and the supervisors relinquish their supervisory role.

Structure and Effectiveness of Supervisory Colleges Outside the European Union

91 *Id*. at 12, Principle 5.
92 *Id*. at 15.
93 Financial Stability Board, Key Attributes of Effective Resolution Regimes for Financial Institutions (Oct. 2011), *available at* http://www.fsb.org/wp-content/uploads/r_111104cc.pdf?page_moved=1. The FSB later updated the Key Attributes in October 2014. *See* Key Attributes (Oct. 2014), *available at* http://www.fsb.org/wp-content/uploads/r_141015.pdf
94 *Id*. at 16.
95 *Id*.

In 2015, the Basel Committee surveyed 68 supervisory colleges that were operating in 20 different jurisdictions.[96] Supervisory colleges were in place for all the global systemically important banks with two exceptions – Wells Fargo in the U.S. and Groupe BPCE (Banque Populaire) in France. Although determined to be systemically important, these two banks did not have significant international operations, or in the case of Groupe BPCE, all its international operations were within the Eurozone, and therefore a supervisory college was not convened because the ECB was the sole supervisor.[97]

Some global banks have very large supervisory colleges. A Spanish global banking group includes 19 host supervisors.[98] One Canadian financial institution's supervisory college includes 50 invited counterparts.[99] The structures of supervisory colleges vary greatly depending on the size and geographic scope of the banking group's operations. For example, the supervisory college supervising HSBC has a core college consisting of the lead supervisor and six host supervisors, a global college consisting of all supervisors (over 70), and a regional college led by the Hong Kong Monetary Authority.[100] For another global bank, the lead supervisor chose to convene a general college consisting of 38 national supervisors and no core college. Switzerland uses trilateral colleges that include the United States and the United Kingdom for the supervision of UBS and Credit Suisse, as well as universal colleges.[101]

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[96] Basel Committee on Banking Supervision, Progress Report on the Implementation of the Principles for Effective Supervisory Colleges, at 2 (2015). A list of supervisory colleges operating within the G-20 as of March 2015 is included in Annex A to the report.
[97] *Id*.
[98] Financial Stability Board, Thematic Review, *supra* note ___, at 28.
[99] *Id*.
[100] Financial Stability Board, IMN Implementation Survey (2015); Julia Black, International Regulatory Coordination: Case Studies, at 80 (2013). *See* Vivien Chen, et al., *Cross-Border Cooperation in Bank Resolution: A Framework for Asia*, 2016 Sing. J. Legal Stud. 11 (2016) (discusses the structure of selected supervisory colleges in Asia).
[101] Thematic Review, *supra* note ___, at 28.

National supervisors recognize that there is a significant trade-off between the size of the supervisory colleges (the number of members) and the quality of discussion during college meetings. Who attends the supervisory college meeting also affects the quality of the discussion. The more senior the supervisory official, the more productive the discussion tends to be in most cases.

The literature on group dynamics, a subject within psychology, can provide insights into the operation of supervisory colleges. A basic unit in the study of human relationships is the dyadic pairing – one on one relationships, for example, a leader and a follower or a teacher and a student.[102] As groups increase in size, the number of relationships needed to maintain group trust and confidence increases exponentially. The maximum number of relationships within a group is given by the equation: n(n-1)/2 where n equals the number of people in the group.[103] For example, in a five person group, 10 relationships are possible. [5(5-1)/2=10]. In a 20 person group, 190 relationships must be maintained. [20(20-1)/2=190]. As the group size grows, the number of relationships to be maintained grows exponentially. Given the limited time available to group members, not all relationships can be maintained. The trust and confidence within the group suffers as the group increases in size because the relationships are not maintained.

Other research reveals that to maintain a verbal conversation in which all members of the group participate, the maximum size of the group tends to be 7-8 persons.[104] Above that range, conversations tend to divide into smaller groups. This effect may be reflected in the operation of supervisory colleges. Supervisory colleges for large global banking groups tend to be divided

[102] Donelson R. Forsyth, *Group Dynamics* in Encyclopedia of Human Relationships, *available at* http://dx.doi.org/10.4135/9781412958479.n24 .
[103] *Id*.
[104] *Group Dynamics* in World of Sociology (2001), *available at* https://pallas2.tcl.sc.edu/login?url=http://search.credoreference.com/content/entry/worldsocs/group_dynamics/0.

into a core college (consisting of supervisors from the most significant jurisdictions) and a university college (consisting of all relevant jurisdictions). Discussions in the core colleges tend to be more productive and engaging according to supervisors.[105] A smaller college, such as a core college, allows for more in depth discussion among the college members.

Supervisory Colleges – Implications for Emerging Markets

International efforts to establish supervisory colleges have focused on global systemically important financial institutions (SIFIs). Within a supervisory college, the home supervisor generally takes the lead in college activities. The host supervisor within a college has a limited role, particularly where foreign banks operate in their jurisdiction through branches rather than as a subsidiary. Supervisory colleges as currently envisioned "endorse the leadership of the home-country regulator" and do not address conflicts between the home and host regulator.[106] Home country supervisors of global SIFIs are frequently based in developed nations and may have limited understanding of emerging markets. Because global bank operations in emerging markets tend to be relatively smaller, supervisors from emerging markets are likely not included in the core college, consisting of the supervisors from the jurisdiction where the SIFIs' most significant operations are located. Rather, supervisors from emerging markets are typically relegated to the general or universal college.

Home country control is the core principle of international supervisory cooperation.[107] The EU reinforces this principle with the use of the EU passport for banks – allowing a bank

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[105] Basel Committee, Progress Report, supra note ___, at 10-11; FSB Thematic Review, *supra* note ___, at 5.
[106] Erik Berglof & Katharina Pistor, *European Financial Regulation's Wrong Turn*, The New Times, September 29, 2009.
[107] Katharina Pistor, *Host's Dilemma: Rethinking EU Banking Regulation in Light of the Global Crisis*, European Corporate Governance Institute Working Paper 286/2010 (June 2010).

licensed in one EU jurisdiction to operate as a branch throughout the EU. The creation of the SSM similarly reinforces home country control of supervision. The ECB substitutes for the national bank supervisors in the 19 Eurozone countries on supervisory colleges. This system of home country rule is designed assuming that most financial risk would emerge from a host jurisdiction and be transferred to home jurisdictions. The assumption is that host jurisdictions are typically emerging markets and the home jurisdictions are developed nations. Most of the financial institution's activities are centered in the home jurisdiction, namely, developed economies. In interconnected, global financial markets, these historical assumptions no longer hold. The 2007-2008 financial crisis illustrated how the risk of contagion can come from any jurisdiction in an interdependent world, including developed economies.

Host countries where foreign-owned banks control the banking system have little leverage over home supervisors supervising those banks. For example, in Eastern Europe, large, foreign-owned banks control a significant share (over 45%) of the banking assets in Slovenia, Poland and Estonia, among others. The host jurisdiction may represent a small portion of the global bank's activities, and the home supervisor is less concerned with the host's portion of the global bank's operations because a failure there would likely have a minor effect on the institution as a whole. The home supervisor is focused on the global bank as an entity and encourages diversification within the bank to minimize the risk of failure. The host supervisor is primarily concerned with the stability of the financial system in the host jurisdiction and how the bank licensed in the home jurisdiction could affect that stability.

The host supervisor lacks information on the entire global operation of the bank, while the home supervisor lacks information on or an understanding of the impact that a failure of the bank will have in the host jurisdiction. The home supervisor has little incentive to change its behavior as it does not bear the costs of failure within the host jurisdiction. In the past, the costs incurred in a host jurisdiction have typically been borne by a multilateral financial institution, such as the International Monetary Fund ("IMF"), which places conditions on the host jurisdiction in exchange for financial assistance.[108]

Incentives for supervisors to share information are weak. A key challenge arising in the operation of supervisory colleges is the legal constraint on sharing confidential information about financial institutions among the supervisors.[109] Thus far, statements regarding cooperation among supervisors, including sharing information, during a financial crisis are not enforceable. During a crisis, supervisory cooperation deteriorates quickly because of "the complex distribution of tasks between home and host- country authorities, the lack of ex ante burden-sharing agreements, and the limited power of host authorities to protect markets."[110] Full cooperation among supervisors will be hindered because of the absence of a cross-border insolvency procedure for financial institutions. Since an orderly way to resolve claims against a cross-border financial institution does not currently exist, supervisors necessarily focus on protecting their national interests – the rights of residents within their jurisdiction who may have claims against a failing financial institution.

Supervisory colleges are strengthened when members have similar legal powers and are independent from political influence. Often, this is not the case. Recognizing both the intensity and effectiveness of supervision during the financial crisis was lacking, the FSB in Fall 2010 recommended strengthening the quality of supervision and revised the Basel Committee's *Core*

[108] Pistor, *supra* note ___.
[109] Torbjorn Becker, et al., Whither Growth in Central and Eastern Europe? Policy Lesson for An Integrated Europe 100-01 (2010), *available at* http://bruegel.org/wp-content/uploads/imported/publications/101124_bp_zd_whither_growth.pdf
[110] *Id*. at 101

Principles for Effective Bank Supervision.[111] Effective supervisors must have adequate resources, an appropriate mandate and true independence. Approximately one-third of the 130 nations reviewed under the IMF-World Bank Financial Sector Assessment Program do not have a truly independent bank supervisor. Similarly, resources devoted to bank supervision vary by country. The number of supervisors assigned to a systemically important financial institution ("SIFI") varied from 14 government officials per SIFI in one country to over 100 supervisory officials per SIFI in another.

Because host supervisors generally have little influence within a college, supervisors from countries at similar stages of economic development and with similar policy interests – such as vulnerability to capital flows – may wish to combine efforts and speak with one voice in a particular college to influence outcomes regarding a financial institution. Of course, this combination is easier said than done as national interests and policies come into play. Home supervisors typically call college meetings and invite attendees. Emerging market supervisors may first need to combine their efforts to ensure they are included in the core college. Once they have secured a presence or representative voice in the core college, emerging market supervisors can then proceed to raising their concerns regarding the effect on financial stability in their jurisdictions by global SIFIs.

The SSM may exacerbate these concerns of emerging markets regarding their influence in supervisory colleges. The ECB becomes an influential supervisor by representing the interests of 19 Eurozone nations in the supervisory colleges of global banking groups. Smaller Eurozone nations may feel that they have even less influence in supervisory colleges than prior to the

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[111] Financial Stability Board, Intensity and Effectiveness of SIFI Supervision (November 2, 2010), *available at* http://www.financialstabilityboard.org/publications/r_101101.pdf . The Basel Committee issued a revised version of the Core Principles for Effective Banking Supervision for consultation in December 2011. Basel Committee on Banking Supervision, "Core Principles for Effective Banking Supervision: Consultative Document" (December 2011).

creation of the SSM. For Eurozone members, the ECB speaks for the national supervisors in those countries. Developing nations outside the EU may be concerned that they are even less likely to be invited to the core college for many global banking groups.

Conclusion

The SSM has only operated in the EU since November 2014 so its influence on and changes to the supervision of global banking groups has not yet been fully realized. Previously, the ECB served only as a central bank and focused on its role as a monetary authority. Because of the SSM, the ECB becomes more equivalent to US and UK bank supervisors, such as the Office of the Comptroller of the Currency, the Federal Reserve, and the Prudential Regulatory Authority. The United States is the largest financial market in the world; London is one of the largest international financial centers. The ECB as a prudential supervisor should streamline the operations of supervisory colleges by substituting for potentially 19 different national supervisors from the Eurozone. The previous discussion of group dynamics would seem to indicate including more members in the college would hinder open discussion. With the ECB substituting for Eurozone national supervisors, the quality of discussion within supervisory colleges could potentially improve.

Will supervisory colleges with fewer members become more effective decision-making bodies or at least allow for more in-depth discussion among supervisors? Recent reports indicated that supervisory colleges remain more of a discussion forum than a body reaching agreements on risk assessments of financial institutions, expect within the EU where EU law requires such joint decisions.[112] Supervisory colleges do not resolve the "problem of mistrust

[112] FSB, Thematic Review, at 29, May 2015.

and conflicting interests between home and host regulators."[113] Peer pressure among financial supervisors has had some significant impact on compliance with international financial standards.[114] Crisis management groups tend to be more effective in decision-making because they have a specific purpose – agreement on a recovery and resolution plan for a global financial institution – and generally have fewer participants.[115] Cross-border crisis management groups have been established for most of the globally active financial institutions at the behest of the FSB. They are focusing on critiquing and approving firm-specific recovery and resolution plans. In contrast, there does not appear to be a commonly understood objective for supervisory colleges.[116]

Further research into the group dynamics of supervisory colleges is warranted. Further experience with the ECB as a global bank supervisor is needed before making more firm conclusions. A review of detailed surveys of officials who participate in the supervisory colleges would be insightful. Structured interviews with these officials focusing on the group dynamics in the colleges without disclosing confidential information of supervised banks would also be revealing.

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[113] Andrew Sheng, *The Regulatory Reform of Global Financial Markets: An Asian Regulator's Perspective*, Global Policy J., at 12 (2010).
[114] Bruegel, G20 Sherpa Survey, Oct. 29, 2014, *available at* http://bruegel.org/2014/10/the-world-is-ready-for-a-global-economic-governance-reform-are-world-leaders/ .
[115] FSB Thematic Review, *supra* note ___, at 30.
[116] FSB Thematic Review, *supra* note ___, at 47.

European Union Supervisory College Legislation

Regulation 575/2013	On prudential requirement for credit institutions and investment firms and amending Regulation 648/2012	26 June 2013	O.J. (L 176) 1 (2013)
Directive 2013/36	On access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms	26 June 2013	O.J. (L 176) 13(2013)
Regulation 1024/2013	Conferring specific tasks on the European Central Bank concerning policies relating to the prudential supervision of credit institutions (SSM Regulation)	15 October 2013	O.J. (L 287) 63 (2013)
Regulation 1022/2013	Amending Regulation 1093/2010 establishing a European Supervisory Authority (European Banking Authority) as regards the conferral of specific tasks on the European Central Bank	22 October 2013	O.J. (L 287) 5 (2013)
Regulation 468/2014	Establishing the framework for cooperation within the Single Supervisory Mechanism between the European Central Bank and national competent authorities and with national designated authorities (SSM Framework Regulation)	16 April 2014	O.J. (L 141) 1 (2014)
Regulation 469/2014	Amending Regulation 2157/1999 on the powers of the European Central Bank to impose sanctions	16 April 2014	O.J. (L 141) 51 (2014)
Recommendation	For a Council Regulation amending Regulation 2532/98 concerning the powers of the European Central Bank to impose sanctions	14 May 2014	O.J. (C 144) 2 (2014)
Regulation 2016/99	Implementing Regulation Laying Down Implementing Technical Standards with regard to the Operational Functioning of the Colleges of Supervisors	16 October 2015	O.J. (L 21) 21 (2016)

Regulation 2016/98	Delegated Regulation supplementing Directive 2013/36/EU with regard to the Regulatory Technical Standards for Specifying the General Conditions for the Functioning of Colleges of Supervisors	16 October 2015	O.J. (L 21) 2 (2016)